

Hero MotoCorp Ltd

Consumer Discretionary | Two Wheelers | Large Cap | <http://www.heromotocorp.com/>

Company Overview

Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

Financial Snapshot

Market Cap	■1,593,401 Cr	ROE	22.0%	Revenue CAGR	2.2%
P/E	53.86	ROCE	29.1%	PAT CAGR	1.5%
P/B	12.60	Net Margin	9.9%	EPS CAGR	1.7%
EV/EBITDA	28.27	Operating Margin	86.1%	Quality Score	70.00
Dividend Yield	1.9%	Debt / Equity	0.03	Interest Coverage	47.27
Asset Turnover	1.44	EPS	■187.00	Book Value	N/A

Investment Strengths

- High ROE indicates efficient capital utilization.
- High operating margin reflects operational efficiency.
- Low debt improves financial stability.
- Comfortable interest coverage reduces financial risk.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.

Investment Risks

- Revenue growth has been weak.
- Profit growth has remained weak.
- EPS growth has been limited.

Cash Flow Intelligence

Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

Cash Rich

Positive operating and overall cash flow indicate healthy liquidity.

Capital Allocation

Latest Pattern: Reinvestor

Pattern History

Year	Pattern
2014	Reinvestor
2015	Liquidating Assets
2016	Reinvestor
2017	Reinvestor
2018	Reinvestor
2019	Liquidating Assets
2020	Reinvestor
2021	Reinvestor
2022	Reinvestor
2023	Reinvestor
2024	Reinvestor

Pattern Change Summary

Changed	No
From	Reinvestor
To	Reinvestor